

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE,

— vs. —

**MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR SOLOVYEV
a/k/a ROYAL FINANCE GROUP INC.**

**COMPLAINANTS' SECOND PETITION TO REOPEN THE PROCEEDINGS FOR THE
PURPOSE OF TAKING FURTHER EVIDENCE, AND REMAND TO THE PRESIDING
OFFICER - - AND FIRST REQUEST THAT THE COMMISSION DESIGNATE THE
BUREAU OF ENFORCEMENT AS A PARTY TO THESE PROCEEDINGS**

On June 17, 2016 the Administrative Law Judge ALJ issued an initial decision in this case (the “ID”).¹ Pursuant to 46 C.F.R. §§ 502.230, Complainants CROCUS INVESTMENTS, LLC and CROCUS, FZE (“Complainants”), by and through their attorney Marcus A. Nussbaum, Esq., hereby petition the Federal Maritime Commission (the “Commission”) *for a second time* to reopen this proceeding in order to admit new evidence concerning respondents’ violations of the Shipping Act of 1984 with respect to a 2008 Chaparral boat VIN# ending in D808; a 2011 Monterey 204 boat VIN ending in 1011; and a 2010 Formula 34PC boat, for which respondents undertook responsibility for the international transportation by water; and to remand the proceeding to the ALJ for further determination on the issue of respondents’ violation of §41102 of the Act.²

Complainants further request that upon the granting of this Petition, that the Commission designate the Bureau of Enforcement as a party to these proceedings pursuant to 46 C.F.R. § 502.42. The new evidence includes additional findings of fact and argument thereon is contained in the attached document entitled “Additional Proposed Findings of Fact Brief and Appendix”.

¹ That decision is not yet administratively final. Exceptions were filed on March 13, 2017.

² The Commission could also consider the evidence on a *de novo* basis as part of its review of filed exceptions. 46 C.F.R. §502.27; 46 C.F.R. §502.230.

INTRODUCTION

The evidence consists of bank records of respondent Royal Finance Group Inc. (“RFG”) (including statements and copies of checks) which were received by complainants on or about July 26, 2017 pursuant to a subpoena issued to Citibank in an ongoing Federal litigation involving the parties herein in the U.S. Court for the District of New Jersey, captioned as *World Express & Connection, Inc. v. Crocus Investments, LLC et al.* U.S.D.C. -- D.N.J. Docket No.: 2:15-cv-08126-KM-MAH, wherein the respondents are named as third-party defendants.

The evidence also consists of a New York State Department of Motor Vehicles response to a request pursuant to the Freedom of Information Law (“FOIL”) for records of Car Express & Import Inc. (“Car Express”), received on or about July 24, 2017.

As explained herein and in the Additional Proposed Findings of Fact Brief and Appendix the copies of RFG’s checks are material to the findings of fact and conclusions drawn therefrom by the Presiding Officer as set forth in the ID inasmuch as it was found by the Presiding Officer that complainants failed to: (1) establish that respondent RFG had acted as an Ocean Transportation Intermediary (“OTI”) without a license with respect to the ocean transportation of the 2008 Chaparral pleasure boat and 2011 Monterey 204 pleasure boat; and (2) establish that a contract of carriage existed for the ocean transportation of the 2010 Formula 34PC pleasure boat.

The information in the true and accurate copies of RFG’s checks, which establish that: (1) a contract of carriage existed for the ocean transport of the Formula pleasure boat owned by complainant; and (2) RFG had acted as an OTI without a license, was known to respondents who knowingly secreted such information³.

³ Complainants are cognizant of the Commission’s holdings in its Memorandum Opinion and Order of March 6, 2017 with respect to complainants’ argument that the proceedings should have been reopened at that time on the basis of “newly discovered evidence”, wherein the Commission disagreed that such evidence was in fact ‘new’ - - that argument will not be repeated here. The Commission is respectfully asked to note, however, that inasmuch as respondents had a duty to disclose proof that MTL received payment for the ocean carriage of the Formula which would have been ‘material’ to the Presiding Officer’s Findings of Fact and conclusions drawn therefrom, that respondents have not acted in good faith. As an Officer of the Court, the undersigned is compelled to now provide such evidence to the Commission, and other evidence of fraud as it may be uncovered.

Specifically, the checks indicate that monies were actually paid to respondent Marine Transport Logistic, Inc. (“MTL”) by RFG for the ocean transport of the Formula, and that MTL accepted said monies, thus establishing that it had indeed assumed responsibility for the ocean carriage of the boat (originally destined for Dubai, but never made it there due to respondents’ fraudulent activity after they had assumed possession, custody and control over the boat). These checks were not part of the record in this matter when the Presiding Officer issued the Initial Decision due to respondents’ failure to produce them.

Citibank’s response to the subpoena also revealed that respondents herein altered certain checks which were produced during the course of this case and did so in order to mislead complainants and the Presiding Officer. Specifically, the Commission is already aware that complainants herein have alleged that RFG was acting as an OTI without a license and without providing proof of financial responsibility to the Commission, when it issued invoices and collected payment for ocean freight.

As explained below, respondents’ purpose in altering said checks was to conceal the fact that RFG was indeed acting as an OTI without a license when it collected monies for ocean freight and *failed* to forward said monies to the NVOCC and VOCC that carried complainants’ cargo. Citibank’s document production revealed that checks produced by respondents during this matter with respect to the monies for ocean freight (and other related expenses) allegedly paid by RFG regarding the export of the Monterey and Chaparral are, in fact, *completely unrelated to said boats*, and that the copies of the checks produced herein were altered in order to make it appear that RFG had advanced payments to MTL and others on behalf of complainants with respect to these boats.

Subsequent to the issuance of the ID, it was also ascertained that Solovyev/Car Express (which the Presiding officer found to be acting as “agent” for MTL) never obtained a Certificate of Title for the Formula from the auto auction warehouse where the boat was purchased (known as “Copart”) nor did he obtain title to a trailer for the Formula, thus creating a situation where the Formula together with the trailer could not be exported due to the fact that U.S. Customs and

Border Protection (“CBP”) requires a certificate of title to be presented to them at the time of export. Specifically, and as explained herein and in the accompanying Additional Proposed Findings of Fact Brief, the New York State Department of Motor Vehicles (“DMV”) Salvage Certificate for the Formula produced by respondents during discovery, is fake and does not match with DMV records.

The foregoing warrants reopening these proceedings on the basis of this recent discovery and it is submitted that the Commission cannot allow the ID to stand “as is” and reward respondents for having engaged in a continued pattern of misrepresentation to the Commission.

PROCEDURAL HISTORY

On May 27, 2015, the Complainants filed their Complaint with the Commission alleging violations of the Shipping Act against respondents herein with respect to three (3) boats owned by complainants, to wit: (1) a 2011 Monterey 204 boat (the “Monterey”); (2) a 2008 Chaparral 190 SSI boat (the “Chaparral”); and (3) a 2010 Formula 34 PC boat (the “Formula”). Respondents filed their Answer on July 10, 2015 and the Presiding Officer issued a Scheduling Order on September 9, 2015 setting forth deadlines for discovery and submission of written materials and commencement of presentation of evidence. As required by the ALJ, Complainants filed their Proposed Findings of Fact and Appendix on January 15, 2016. Respondents filed their Proposed Findings of Fact and Appendix on February 11, 2016.

On April 12, 2016, the Presiding Officer issued an Order to Supplement the Record with respect to the Chaparral and Monterey *solely*. On June 17, 2016, the ALJ issued an Initial Decision, finding, among other things, that: (1) complainants and respondents never entered into an agreement to transport the Formula by water from the United States to a foreign port and therefore the Shipping Act did not apply; (2) that with respect to the transport of the Chaparral and Monterey from Dubai back to the United States, that the respondents’ *only* connection to the shipment was the fact that respondent MTL was listed as a consignee on the ocean liner bill of lading; (3) with respect to any claimed violations of the Shipping Act against respondents arising out of excessive

storage fees, that “even if MTL were operating as an NVOCC, the boats were not received for US export shipment and the tariff does not apply”; and (4) complainants *have not proved* that respondent Aleksandr Solovyev operated as an Ocean Transportation Intermediary without a valid license.

On October 28, 2016, complainants filed their first Petition to Reopen the Proceedings, which was denied by the Commission pursuant to its Memorandum Opinion and Order of March 6, 2017, wherein the Commission held that “Complainants have not shown any material change in the law or the facts or any other justification for reopening the record.”⁴

BRIEF STATEMENT

As set forth below, the bank records of RFG which were subpoenaed from Citibank in the matter of World Express, *supra*, provides evidence which is ‘material’ to the Presiding Officer’s findings as set forth in the Initial Decision of June 17, 2016 (Document # 29) that complainants and respondents allegedly never entered into an agreement to transport the Formula by water from the United States to a foreign port and therefore the Shipping Act allegedly did not apply. The checks, which contain proof that MTL was paid by RFG for the ocean freight for the transport of the Formula, constitute the ‘consideration’ which the Presiding Officer found lacking for purposes of establishing that a ‘contract of carriage’ existed for the transport of the Formula.

As further set forth below, and inasmuch as it has now been ascertained that RFG issued invoices and collected monies from complainants for ocean freight, loading and shipping to Dubai, without a tariff without providing proof of financial responsibility to the Commission, did not forward said funds to MTL, and simply retained these funds, complainants have established that RFG had acted as an OTI without a license with respect to these two boats, in violation of the Shipping Act.

⁴ See, Memorandum Opinion and Order of March 6, 2017 (Document Number 44) at p. 15.

Specifically, and with regard to these two boats, RFG was not acting as agent of Soloveyv, MTL, or otherwise when it simply held these funds and charged a ‘commission’ for the ‘service’ it was allegedly providing on behalf of respondents (wherein RFG’s alleged purpose was to allow for complainants to make a ‘lump sum’ payment to RFG for ocean freight, trucking, loading, and other related services, which was then forwarded by RFG as needed, and in order to save complainants the expense of making multiple wire transfers).

DISCUSSION

I. REOPENING THE PROCEEDING

Complainants petition the Commission to reopen this proceeding in order to provide evidence which is material to the Presiding Officer’s findings as set forth in the Initial Decision of June 17, 2016 (Document # 29) that complainants and respondents allegedly never entered into an agreement to transport the Formula by water from the United States to a foreign port and therefore the Shipping Act allegedly did not apply. 46 C.F.R. §502.230 governs the reopening of a proceeding by the Commission. The Rule states, in relevant part, as follows:

(d) Reopening by the Commission. Where a decision has been issued by the presiding officer or where a decision by the presiding officer has been omitted, but before issuance of a Commission decision, the Commission may, after petition and reply in conformity with paragraphs (a) and (b) of this section, or upon its own motion, reopen a proceeding for the purpose of taking further evidence.⁵ 46 C.F.R. §502.230(d); and

(e) Remand by the Commission. Nothing contained in this rule shall preclude the Commission from remanding a proceeding to the presiding officer for the taking of additional evidence or determining points of law. 46 C.F.R. §502.230(e)

⁵ Complainants note that the rule in its current version at 46 C.F.R. §502.230 was issued in 1967 and constituted a change from the Commission’s original rule governing reopening of proceedings. The original version codified at 46 C.F.R. §502.261, contained a requirement that if the purpose of the petition for reopening was to take further evidence, there be a showing that the evidence was not available at the time of the prior hearing. That requirement was deleted in the current rule. See General Order 16, Amdt. 2, 33 FR 9402, June 27, 1968 (issuance of §502.230); General Order 16, 30 FR 13604, 13616, October 26, 1965 (issuance of 46 C.F.R. §502.261). However, in this situation the evidence Complainants wish to have the Commission take notice of and include in the record was not available at the time Complainants filed their Proposed Findings of Fact in January of 2016.

The Commission is respectfully urged to take particular note of subsection (e) of the Rule, cited above, in that *nothing* in the Rule precludes the Commission from remanding a proceeding to the Presiding Officer for taking additional evidence. While it is anticipated that respondents may argue in opposition to this petition that the bank statements and checks are not ‘newly discovered evidence’, they are nonetheless ‘material’ and would have resulted in a different conclusion by the Presiding Officer regarding the issues set forth herein in that respondents did violate the Shipping Act.

The instant petition, pursuant to subsection (e) of the Rule allows the Commission discretion full discretion to remand the matter back to the Presiding Officer to take the additional evidence. A remand, which is generally exercised after an Initial Decision, which is the case here, allows the Commission to avoid a completely unjust result.

Agencies have broad discretion in deciding whether to reopen a proceeding and their decisions are reviewed under an abuse of discretion standard. See, Interstate Commerce Commission v. Jersey City et al., 322 U.S. 503 (1944); Interstate Commerce Commission v. Bhd. of Locomotive Engineers, 482 U.S. 270 (1987). The Commission preference for a complete record was discussed in the case of Hudson Shipping Hong Kong Ltd. d/b/a Hudson Express Lines - Possible violations of Section 10(a)(1) of the Shipping Act of 1984, 29 SRR 1376 (ALJ 2002), where the ALJ reopened the record and vacated discovery sanctions prior to issuance of an initial decision. The ALJ explained the rationale favoring reopening to permit the development of a complete record:

...it is Commission policy that the evidentiary record be fully developed fully [sic] before an initial decision is rendered. Maersk Line Agency for the Benefit of Mitsui and Co., 22 FMC 224 [19 SRR 1014] (1979)...[i]tis not just the policy, but the responsibility of the Commission and, by delegation of authority, the presiding judge, to inquire into and consider all relevant facts. Michigan Consolidated Gas Co. v. Federal Power Commission, 283 F2d 204, 226, *cert. denied*, 364 US 913 (1960). The Commission’s role is not one of ‘an umpire blindly calling balls and strikes for adversaries appearing before it.’ Scenic Hudson Preservation Conference v. Federal Power Commission, 354 F2d 608, 620 (2d Cir. 1965). The Commission would not be fulfilling its responsibility if it were to decide the issues upon a [sic] incomplete record. Indeed of, even greater importance than the concept of fairness

between the parties as they maneuver to develop a record which fits neatly within their positions, is the need to ensure that justice is served and all relevant facts are investigated and considered by the Commission. Isbrandtsen Co. v. United States, 96 F.Supp. 883, 892 (SDNY 1951); Landis, The Administrative Process 39 1938. Id. at 1377.

The Commission may reopen a proceeding for the purpose of taking further evidence, particularly if the evidence is a material fact that “might affect the outcome of the suit under the governing law”. Green Master Int’l Freight Services Ltd. - Possible Violations of Sections 10(a)(1) and 10(b)(1) of the Shipping Act of 1984, 29 SRR 1303, 1318 (FMC 2003) citing Gonzalez v. Torres, 915 F. Supp .511, 515 (DPR 1996).

The evidence Complainants seek to have admitted is relevant and material since it addresses complainants’ claims that the respondents violated the Shipping Act with respect to the three subject boats. The evidence Complainants urge the Commission to take notice of, was not available at the time Complainants filed their Proposed Findings of Fact in January of 2016. Reopening the record to allow for admission of new evidence will foster a more complete record.

Complainant’s Evidence Could Not, Through Due Diligence, Have Reasonably Been Discovered Sooner

In the first instance, it is respectfully submitted that complainants’ evidence is comprised of information which would have significantly altered the course of this litigation; and that complainants have been severely prejudiced as a result of respondents’ active concealment of such evidence, which if lawfully disclosed by respondents would have supported a viable cause of action with respect to respondents’ violations of the Shipping Act of 1984. Further, and in the absence of respondents’ willful acts of concealment, complainants would not have been required to incur the time, expense, and effort of interposing the instant Petition, nor indeed would there have been the wasting of scant resources which resulted in the issuance of the ID in the first instance.

It is additionally respectfully submitted that akin to other “business entities” who ply their various trades through demonstrated patterns of lies, deceit, and other fraudulent activities, such nefarious actors are prone to leaving a paper trail of their misdeeds. Clearly, respondents used “the truth” as something to be bent and shaped for whatever transactional purpose may best serve them at any given moment. Worse, and in so doing, respondents have actively committed a fraud upon the Commission by actively misrepresenting the purpose of the monies and payments identified in the checks referred to above in order to hide and obfuscate a pattern of violating the Shipping Act of 1984 so as to evade and avoid liability to complainants’ claims herein and to fraudulently induce this Commission to dismiss complainants’ cause of action pursuant to the Shipping Act.⁶

Succinctly stated, it is respectfully submitted that the foregoing may actually constitute ‘newly discovered evidence’ which not only could reasonably have been uncovered through ‘due diligence’ of the complainants but which also was actively concealed by the respondents, thus abundantly giving rise to the granting of complainants’ instant requested relief from this Commission described herein.

The Evidence Could Not Reasonably Have Been Discovered Through Due Diligence

While complainants submit that the willful and contumacious withholding of evidence to a Federal Government Tribunal is ‘material’, it should be noted that the discovery of the altered bank records could not reasonably have been discovered through due diligence. It is respectfully submitted that as officers of the Court both complainants’ and respondents’ counsel each had a right to reasonably expect that each other’s clients would refrain from making false and fraudulent representations before the Commission with respect to pending matters. This, respondents have manifestly *failed* to do.

⁶ It should also be noted that in the matter of World Express, *supra*, the Citibank records referred to herein have been disclosed to respondents’ counsel pursuant to FRCP 26, and to the time of this writing, respondents’ counsel have failed to disclose the falsity of their clients’ evidence to the Commission. 46 CFR §502.26 requires attorneys practicing before the Commission to conform to the standards of conduct set forth in the American Bar Association’s (“ABA”) Model Rules of Professional Conduct. Rule 3.3(3) of the ABA’s Rules of Professional Conduct state that when a lawyer comes to know of the falsity of evidence, the lawyer shall take reasonable remedial measures, including, if necessary, disclosure to the tribunal.

It was only through extraordinary investigatory means that complainants became aware of respondents' false and fraudulent representations made to the Commission by virtue of receiving the bank records by subpoena (and over respondents' objection thereto in the matter of World Express, *supra*) which respondents herein purposefully altered in order to create a fictional financial transaction which purported to indicate that RFG had forwarded monies to MTL for the ocean transport of the Monterey and Chaparral. But for the extraordinary efforts of counsel which well exceeded any reasonable interpretation of due diligence, respondents' false and fraudulent misrepresentations would not have been exposed.

Complainants' Evidence Warrants the Reopening of These Proceedings

In the first instance, the Commission is respectfully asked to note that complainants are also cognizant of the Commission's holdings in its Memorandum Opinion and Order of March 6, 2017 with respect to complainant's prior reliance upon Federal Rule of Civil Procedure ("FRCP") Rule 60 as the governing standard for relief from a prior judgment or order, and wherein the Commission noted that the FRCP is not applicable inasmuch as Rule 230 grants the Commission "clear authority" "to reopen a proceeding for the purpose of taking additional evidence" and "broad discretion in exercising that authority."

In light of the foregoing, the following body of federal case law is proffered in support of the instant application, and *not* because of an argument that FRCP 60 applies herein or that the cases are controlling, but *rather* due to the fact that the principles gleaned from the holdings set forth below may be of use to the Commission in exercising its broad discretion on the issue of reopening the proceedings.

It is well settled that the standard governing relief from a judgment on the basis of newly discovered evidence is the same as that governing new trial. See, e.g., In re Johnston, 37 B.R. 361 (Bankr. D. Vt. 1984); U. S. Fid. & Guar. Co. v. Lawrenson, 334 F.2d 464 (4th Cir. 1964). It is additionally well settled that evidence that was lost, **hidden**, or unavailable during trial could qualify as "newly discovered evidence" supporting a motion for relief from judgment after it was

found, ***even if the evidence was known to the movant at the time of trial.*** See, e.g., Bain v. MJJ Prods., Inc., 751 F.3d 642 (D.C. Cir. 2014).

It is further well settled that failure to disclose or produce material requested in discovery can constitute “misconduct” within the purview of 60(b)(3). See, e.g., Anderson v. Cryovac, Inc., 862 F.2d 910, 923 (1st Cir.1988). Similarly, a 60(b)(3) motion may be granted where the court is “reasonably well satisfied that the testimony given by a material witness is *false*; that, without it, a jury might have reached a different conclusion; that the party seeking the new trial was taken by surprise when the false testimony was given and was unable to meet it or did not know of its falsity until after trial.” See, Davis v. Jellico Community Hosp., Inc., 912 F.2d 129, 134 (6th Cir.1990) (quoting Gordon v. United States, 178 F.2d 896, 900 (6th Cir.1949), cert. denied, 339 U.S. 935, 70 S.Ct. 664, 94 L.Ed. 1353 (1950)).

Respondents’ Perpetration of a Fraud upon the Commission by Producing Fabricated Documents

It is undisputed that in the case at bar, respondents unimpeachably and unabashedly committed a fraud upon this Commission through grossly false representations regarding the aforesaid bank records.

It is respectfully submitted that in engaging in such willfully fraudulent conduct as that described above before the FMC, a Federal Tribunal who’s mission statement includes “protect[ing] the *public* from unfair and deceptive practices...”, respondents have further engaged in conduct and behavior which can only reasonably be considered by this Honorable Court as extremely *egregious* squarely within the meaning of the language of the Court’s holding in Hazel-Atlas Glass Co. v. Hartford-Empire Co., 322 U.S. 238, 64 S. Ct. 997, 88 L. Ed. 1250 (1944) (attorney submitted fraudulent evidence and did so, *not only to the U.S. Patent Office, but to the court itself*) (emphasis added); see also, Fraige v. Am.-Nat’l Watermattress Corp., 996 F.2d 295, 299 (Fed. Cir. 1993) (fraudulent conduct was a wrong against the judicial system and also, the fraud concerned the validity of an issued patent, *which is a matter of public concern*).

Complainants' Evidence Meets the Requirements of Rule 230

It is respectfully submitted that the evidence proffered herein is such that, with reasonable diligence, could not have been discovered in time to move for a new hearing. To the extent that as set forth herein, complainants have fully explained below and otherwise made out how and why the evidence at issue is and was arguably “newly discovered” and/or “material”, and the instant Petition was occasioned solely and exclusively by the willful and malicious concealment of such evidence by respondents, complainants will not needlessly burden the Commission with a redundant restatement of same, rather, complainants will address seriatim, the anticipated “arguments” of respondents in opposition to the instant application, as legally bereft and factually bankrupt as such “arguments” may be.

To the extent that respondents shall attempt to chide complainants for not having sooner discovered such fraudulent misrepresentations and altered bank records, it is respectfully submitted that such an argument, through a tortured and convoluted set of purported logic worthy of Rube Goldberg, equates to respondents purporting to suggest that requisite due diligence encompasses having the telepathic foresight to have *assumed* that respondents had committed the fraudulent misrepresentations complained of herein, and that such due diligence would further run to the extraordinary action of sending a subpoena to every single non-party listed on every single page of the hundreds of pages of documentary evidence produced during the course of these proceedings.

It is respectfully submitted that were this Commission to adopt such outlandish and extraordinary measures as a reasonable quantum of “due diligence”, such due diligence could never be achieved in any case, or under any circumstances whatsoever. Accordingly, it is respectfully submitted that the concept of due diligence cannot be so outlandishly extended to encompass such wild-eyed theories of law, no matter how novel and lacking in legal basis.

Complainants' 'Evidence' Is Material to These Proceedings

In light of the undisputed false, fraudulent, and duplicitous representations concerning the alleged the purpose of the monies and payments identified in the checks referred to above, respondents may purport to argue that such fraudulent acts are “not relevant” or ‘material’ to the Presiding Officer’s Initial Decision.

The Bank Records Establish That a Contract of Carriage existed for the Ocean Transport of the Formula, Thus Placing the Instant Dispute within the Commission’s Jurisdiction

The bank records of RFG which were subpoenaed from Citibank in the matter of World Express, supra, provides evidence which is ‘material’ to the Presiding Officer’s findings as set forth in the Initial Decision of June 17, 2016 (Document # 29) that complainants and respondents allegedly never entered into an agreement to transport the Formula by water from the United States to a foreign port and therefore the Shipping Act allegedly did not apply.

In support of its decision to deny complainants’ first Petition to Reopen the Proceedings, the Commission noted, on page “14” of its Memorandum Opinion and Order of March 6, 2017 as follows:

“As to Complainants’ claims regarding intended transport of the Formula, they argue that the proffered evidence will show that it was “placed into the custody and control of Solovyev/MTL solely for purposes of export.”...What they fail to show, however, is that the parties actually entered into a contract to transport the Formula to Dubai or any other foreign destination...And while Complainants assert that the parties intended to transport the Formula to Dubai, they have not identified evidence proving the parties actually had a contract to that effect...Proof of a contract requires evidence showing that an offer was extended and accepted and that consideration changed hands. See, *Vinmar Inc. v. China Ocean Shipping Co.*, 26 S.R.R. 420, 423 (FMC 1992) (citing contract law). Complainants have not identified evidence proving those required elements were met.”

The Presiding Officer similarly found the ‘consideration’ described above to be lacking, explaining on p. 26 of the ID as follows:

“Complainants never paid the \$12,000 for loading and shipping the Formula to Dubai...[t]herefore, Complainants and Respondents (MTL, Solovyev, or any of Solovyev's companies) never entered into an agreement to transport the Formula by water from the United States to a foreign port.”

It is respectfully submitted that the bank records, which contain proof that MTL was paid by RFG for the ocean freight for the transport of the Formula, constitute the ‘consideration’ which the Presiding Officer found lacking for purposes of establishing that a ‘contract of carriage’ existed for the transport of the Formula. It is additionally respectfully submitted that the fact that RFG paid the monies to MTL on behalf of complainants is of no consequence to the extent that the Presiding Officer explained that RFG’s purpose was to advance monies on behalf of complainants to various companies as a convenience for complainants, who would then only need to make a “lump sum” payment wire transfer to RFG - - this way, complainants could avoid paying fees associated with multiple wire transfers:

“[RFG] advanced payments on behalf of the foreign Complainants to Co-Part (a U.S. auction site), and to other companies (e.g. MTL, Car Express, inland trucking companies). This was done as a convenience to Complainants so that Complainants would only need to make a single "lump sum" wire-transfer payment to RFG and, accordingly, could avoid paying the fees associated with sending multiple wire transfers. In this way, Complainants would also avoid incurring penalties for late payment to the auction site, which could occur if there are delays with the foreign wire transfers. (See Dep. Tr. of [Aleksandr] Solovyev, at 45-17- 47:25). RFG, in turn, charged a commission to Complainants for its services. (See Dep. Tr. of [Aleksandr] Solovyev, at 46:8-14).” (See, Initial Decision of June 17, 2016, pp. 12-13, FF# 35.)

In Addition to RFG Having Issued Invoices for Ocean Freight, Loading and Shipping to Dubai, The Bank Records Establish that RFG Collected Payment for Ocean Freight, Without A Tariff, and Without Providing Proof Of Financial Responsibility To The Commission, and Without Forwarding Said Monies to MTL for the Ocean Transportation of the Monterey and Chaparral

The bank records of RFG also provide evidence which is ‘material’ to the Presiding Officer’s findings as set forth in the ID, to wit: that RFG, together with MTL and Solovyev, allegedly did not violate the Shipping Act with respect to the transportation of the Monterey and Chaparral to Dubai.

During the course of these proceedings, RFG produced a copy of a check written to MTL in the sum of \$3,441.00 (marked as RESP024 and annexed to the accompanying Brief as Appendix “H”) which purported to be payment by RFG to MTL for ocean freight for the Monterey, wherein

respondents have handwritten the words “Monterey Payment” onto the page which contains the copy of the check. Said check also appears to have the handwritten notation “1011” written into the Memo line (it should be noted that 1011 are the last four digits of the VIN Number for the Monterey).

Respondents’ copy of the check was then compared to the true and accurate copy of the very same check produced by Citibank (marked as DEF0681 and annexed to the accompanying Brief as Appendix “I”) in response to the subpoena, and which revealed that the Memo line on the true check has a handwritten notation of “83038” (said number having no connection with any of the subject boats) - - this was done in order to create the appearance that RFG had forwarded monies to MTL for the ocean freight for the Monterey. One may ask the rhetorical question of why respondents were so concerned about creating the appearance that RFG had forwarded payment for the Monterey to MTL.

With respect to the Chaparral the Commission may be aware that during discovery herein, respondents produced a copy of a check (marked as RESP023 and annexed to the accompanying Brief as Appendix “J”) wherein respondents made the handwritten notation “Chaparral Payment” onto the page which contains the copy of the check. Said check has no written notation in the Memo line. A review of all RFG bank records produced by Citibank in response to the subpoena indicates that there is not a single check in said records which indicates that RFG forwarded monies to anyone with respect to the ocean transport of this boat.

While complainants (and the Presiding Officer for that matter) took respondents at their word that this check was in fact payment related to the ocean transport of the Chaparral, it now appears that *any* representations made by respondents are severely lacking in credibility. For the reasons set forth in the accompanying Additional Proposed Findings of Fact Brief, complainants are requesting as an appropriate sanction that the Commission instruct, issue, or direct an adverse inference against respondents with respect to the absence of bank records pertaining to the Chaparral, in light of respondents’ demonstrated willful and contumacious pattern of misconduct.

Accordingly, the introduction of the subpoenaed bank records and checks will permit consideration of facts pertaining to an alleged Shipping Act violation. The Commission's Rules of Practice and Procedure give the Commission the authority to reopen this proceeding to take official notice of these documents.

As a result of respondents having produced fabricated documents and actively secreted and concealed the evidence described herein, which would have materially affected the outcome of this litigation, it is respectfully submitted that complainants have, within the meaning of the case law set forth above, established a basis for reopening these proceedings. Additionally, this Commission is respectfully asked to take note of the 'misconduct' of the respondents in failing to correct the false representations made to the undersigned and this Commission with respect to the bank records described above.

Car Express Never Obtained a Certificate of Title for the Formula and in its Place
Provided a Fabricated Document to the Commission

While this issue is discussed in detail in the accompanying Additional Proposed Findings of Fact Brief and Appendix, the Commission is respectfully asked to note the following up front in support of complainants' instant application for reopening these proceedings (but more importantly, for referral of the matter to the Bureau of Enforcement), inasmuch as this further demonstrates a pattern of willful and contumacious conduct by respondents which was geared towards deceiving the Commission and complainants, and which resulted in an Initial Decision based upon fabricated documents.

The accompanying brief explains that there is no record of respondents having produced a Certificate of Title for the *trailer* for the Formula. What has recently been ascertained, however, during the course of litigation of the matter of World Express, *supra*, is that respondents never obtained a Certificate of Title for the Formula from the auto auction warehouse where the boat was purchased (known as "Copart"), thus creating a situation where the Formula, together with

the trailer could not be exported due to the fact that U.S. Customs and Border Protection (“CBP”) requires a certificate of title to be presented to them at the time of export.

On this issue, the Commission is respectfully referred to the New York State Department of Motor Vehicles (“DMV”) Salvage Certificate for the Formula produced by respondents during discovery, described in the accompanying Brief, together with the DMV’s document production in response to complainants’ Freedom of Information Law Request for records of Car Express, which establish that the Salvage certificate is fake and does not match with DMV records.

REMAND OF THE PROCEEDING TO THE ALJ

Complainants also petition for a remand of the proceeding to the ALJ for further determination on the issue of respondents’ violation of §41102 of the Act with respect to the Formula. It is appropriate to remand the proceeding to the ALJ for consideration of the new evidence annexed hereto in support of complainants’ claims that the respondents violated the Shipping Act with respect to the Formula.

DESIGNATION OF THE BUREAU OF ENFORCEMENT AS A PARTY TO THESE PROCEEDINGS

In light of the demonstrated pattern of willful and contumacious conduct by respondents which was geared towards deceiving the Commission and complainants, and which resulted in an Initial Decision based upon fabricated documents, complainants are now compelled to seek the extraordinary relief of requesting that this Commission now designate the Bureau of Enforcement as a party to these proceedings, so that respondents may be given to understand the severity and gravity of their misconduct and unethical practice, which can, and must have consequences.

Rule 42 of the Commission’s Rules of Practice and Procedure, 46 C.F.R. § 502.42 reads in relevant part, as follows:

The Bureau of Enforcement shall be a party to proceedings upon designation by the Commission or upon leave to intervene granted pursuant to §502.68. The Bureau's representative shall be served with copies of all papers, pleadings, and documents in every proceeding in which the Bureau is a party. The Bureau shall actively participate in any proceeding to which it is a party, to the extent required in the public interest, subject to the separation of functions required by section 5(c) of the

Administrative Procedure Act.

It is respectfully submitted that the foregoing information described herein already warrants intervention by the Bureau of Enforcement in these proceedings, and complainants repose complete faith and trust that the Commission, together with the Bureau of Enforcement will take appropriate action to protect the shipping public from what has been a continued pattern of illegal activity by respondents herein, and in particular that of Solovyev, a proven fraud, liar, cheat, and ‘master criminal’ inasmuch as he was convicted by a New Jersey Criminal Court Judge for the crime of receipt of stolen property.

Respondents are no stranger to the Commission and have been the subject of multiple proceedings wherein it is alleged that they violated the Shipping Act. See, e.g., Best Way USA Inc. v. Marine Transport Logistics, (FMC Informal Docket No.: 1901(I) (finding that respondents violated section 10(d)(1) of the Shipping Act); MAVL Capital Inc., et al, v. Marine Transport Logistics, et al., (FMC Docket No.: 16-16) (dismissed *in part* with respect to one of complainants’ vehicles and currently stayed pending the Commission’s ruling on Exceptions with respect to said vehicle).

Respondents’ production of fake invoices from the online auto action warehouse known as ‘Copart’ during the course of respondents having engaged in shipping activity is also the subject of extensive briefing to the Commission. See, Complainants’ Status Report of September 6, 2017 in the matter of MAVL, *supra*, (Document # 32 in FMC Docket No.: 16-16) at p. 3. Respondents’ duplicitous representations to the Commission and to a Federal Judge regarding the nature of a wire transfer have also been the subject of extensive briefing to the Commission. See, Complainants’ Brief in Support of Exceptions, dated February 8, 2017 (Document # 20 in FMC Docket No.: 16-16) in the matter of MAVL, *supra*, at p. 27.

What the Commission and Bureau of Enforcement may not be aware of (but may be interested in) is the following, which for purposes of brevity is being mentioned here simply as additional issues which complainants can brief the Commission more fully under separate cover, if required:

1. With respect to the subject Monterey and Chaparral at issue herein, respondents made knowingly made false representations of fact to the VOCC that carried said cargo (in violation of the Shipping Act) resulting in the VOCC's issuance of a bill of lading that failed to list the trailers for the Monterey and Chaparral, thus creating a situation where the VOCC shipped 'contraband';
2. With respect to the subject Formula (CX118, ID FF# 74) and Chaparral (CX115) at issue herein, the Copart invoices produced by respondents during discovery herein and used by respondents during the shipping process are fake, and not part of Copart's business records - - this was confirmed by Copart in response to a Subpoena issued to Copart in the matter of World Express, supra;⁷ and
3. It has now been ascertained that respondents herein have made false statements of fact to the Federal Maritime Commission in an application for an OTI license.

In closing, it is hoped and prayed that at this juncture, the Commission will agree that "enough is enough" with respect to the fraudulent conduct that has to date, run rampant and is out of control, and that appropriate steps be taken to address these issues.

RELIEF REQUESTED

Complainants petition the Commission to reopen this proceeding in order to admit evidence which is material to the Presiding Officer's Initial Decision, including that obtained from Citibank in an ongoing litigation in the U.S. District Court for the District of New Jersey and a New York State Department of Motor Vehicles response to a request pursuant to the Freedom of Information Law ("FOIL") for records of Car Express & Import Inc. This information is relevant to a determination on complainants' claims that the respondents violated the Shipping Act with respect to the subject boats.

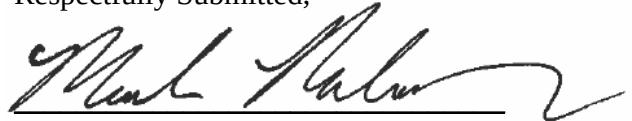
⁷ See, Appendix to Complainants' Status Report of September 6, 2017 in the Matter of MAVL Capital Inc., et al, v. Marine Transport Logistics, et al. FMC Docket No.: 16-16.

Complainants further request that upon the granting of this Petition, that the Commission designate the Bureau of Enforcement as a party to these proceedings pursuant to 46 C.F.R. § 502.42.

Complainants also petition the Commission to remand the proceeding to the ALJ for consideration of the new evidence and further determination on the issue of respondents' alleged violations of the Shipping Act.

Dated: September 27, 2017
Brooklyn, NY

Respectfully Submitted,

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

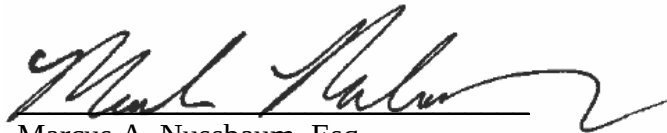
Marcus A. Nussbaum, Esq.
P.O. Box 245599
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Attorney for Complainants

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' SECOND PETITION TO REOPEN THE PROCEEDINGS FOR THE PURPOSE OF TAKING FURTHER EVIDENCE, AND REMAND TO THE PRESIDING OFFICER - - AND FIRST REQUEST THAT THE COMMISSION DESIGNATE THE BUREAU OF ENFORCEMENT AS A PARTY TO THESE PROCEEDINGS, COMPLAINANTS' ADDITIONAL PROPOSED FINDINGS OF FACT and BRIEF, and APPENDIX** upon Respondents' Counsel at the following address:

Montgomery, McCracken, Walker & Rhoads, LLP
437 Madison Ave., 29th Floor
New York, NY 10022
Attn: Stephen H. Vengrow, Esq.
Attn: Eric Chang, Esq.

by first class mail, postage prepaid, and by email (echang@mmwr.com and svengrow@mmwr.com).



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Dated: September 27, 2017 in Brooklyn, New York.